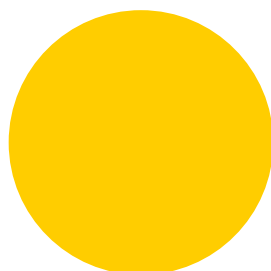


**CONSOLIDATED HALF-
YEAR ACCOUNTS
30 JUNE 2024
BPIFRANCE GROUP**



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I. HALF-YEAR BUSINESS REPORT

Bpifrance Group at 30 June 2024

1. BUSINESS ACTIVITIES

1.1. Presentation of the missions and business lines

A public group serving the financing and development of businesses, Bpifrance acts in support of the policies conducted by the State and the Regions. The ordinance of 29 June 2005, amended by Law No. 2012-1559 of 31 December 2012 tasks it with promoting innovation, start-up, development, internationalisation, transfer and transmission of businesses, by contributing to their financing through loans and equity.

Bpifrance is a credit institution and a holding company that acts through its subsidiaries, Bpifrance Régions (which operates the Financing activities, together with the credit institution), Bpifrance Participations, Bpifrance Investissement (an investment management company authorised and regulated by the AMF) and Bpifrance Assurance Export.

As a credit institution, Bpifrance is subject to banking regulations (Order of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sector subject to the supervision of the Prudential Supervisory and Resolution Authority (Autorité de contrôle prudentiel et de résolution)), which imposes numerous obligations on it, such as operating under market conditions, without abusive support or ruinous credit, with a risk prevention system (financial, image and operational), separation of roles, monitoring measurement systems and risk control. Bpifrance and its subsidiary Bpifrance Régions are supervised by the Prudential Supervisory and Resolution Authority and subject to direct prudential supervision by the European Central Bank¹.

Bpifrance is a marketplace player, whose role is to bring together all financing partners for the benefit of companies, banks first and foremost, as well as innovation development networks by co-financing with private banks.

Bpifrance provides financing to companies in their riskiest phases, such as business creation or transfer, innovation, international development, as well as in the context of capacity investments, while respecting the rules of competition law and private players. To do this, it relies on allocations from public actors at different levels: State, local authorities (especially the Regions) and the European Union.

Its public interest mission requires Bpifrance to intervene as close as possible to the territories, in favour of VSEs, SMEs and intermediate-sized enterprises, regardless of their legal status (including SSE companies² and local public companies³ performing a commercial activity), in all sectors of activity, except financial services.

Its public stature also implies a special welcome for companies in each Region, a search for solutions with all partners, more patience, an adapted remuneration.

Bpifrance is subject to State aid regulations (guarantee funds, research, development and innovation, subsidised loans) which prohibit in particular the financing of companies in proven difficulty or those that are not up to date with their social and tax contributions.

The business lines of Bpifrance and its subsidiaries are presented below:

¹ List published by the European Central Bank in accordance with Article 49(1) of Regulation (EU) No 468/2014 of the European Central Bank (ECB/2014/17).

² Companies with status (cooperatives, SCOP, mutual insurance companies, associations) or with a high social impact.

³ SEM, SPL, SPLA.

1.1.1. Financing

Bpifrance has a role as a local bank: in partnership with banking and financial institutions and Regional Councils, Bpifrance supports:

- Tangible and intangible investments through interventions in the form of medium or long-term loans and leasing operations, real estate, equipment or financial leasing, particularly in renewable energy financing;
- Intangible investments, as well as the financing of working capital requirements, in the form of unsecured loans (Growth, Ecological Transition, Industry, Tourism, International, Transmission, Innovation), that are long and patient, without guarantee or security taken against the company or its managers through the use of public resources.

Specific financing in partnership with the Regions, the Banque des Territoires, ADEME (the French Agency for Ecological Transition) and the EIB Group has also been developed in order to promote investment in specific issues or strategic sectors: industry, tourism, climate, French Touch, VSEs, etc.

Bpifrance contributes to the financing of the operating cycle and finances the cash flow needs of small and medium-sized enterprises that are clients of public and private sector clients. Under the contracts financed, it issues signature commitments: sureties and first-demand guarantees.

1.1.2. Guarantee

Directly correlated to the financing granted by its partners, Bpifrance's guarantee is a crucial tool for encouraging banks to finance SMEs in the riskiest phases of their growth, especially in the creation, innovation or transmission phases. Bpifrance provides guarantees for bank financing (including leasing and financial leases) and support from equity investors:

- with regard to creation;
- with regard to innovation ;
- with regard to development;
- with regard to environment;
- with regard to transfers;
- with regard to strengthening the cash flow;
- with regard to international actions, the risk of failure of French subsidiaries abroad (GPI).

The standard loan-to-value ratio is between 40% and 60%. As part of a recovery plan, the guarantee ratio is increased to between 60 and 70% on the Development, Creation and Transmission funds. The guarantee can reach 80% in cooperation with the guarantee funds set up by the Regions with Bpifrance Régions..

The guarantee is the preferred tool for intervention, particularly with the smallest companies, as it is implemented in partnership with private banks, which are authorised to decide immediately on granting up to 200,000 euros, or by requesting Bpifrance for higher amounts.

The student loan guarantee, a scheme carried out on behalf of the State and greatly strengthened under the recovery plan, makes it possible to guarantee loans made by banks for students' benefit without the latter having to provide other guarantees.

1.1.3. Innovation

The mission of Bpifrance's innovation financing is to provide a response to the financing needs of individual or collaborative innovative projects, from the idea to the market, in cases where traditional financing fails or when a commercial bank needs to be involved.

To this end, Bpifrance provides a financing solution adapted to the company according to its distance from the market (grant, recoverable advance, R&D or zero-interest innovation loan, subsidised loan without guarantee, etc.) in close partnership with the players in the financing of innovation, particularly the Regions.

The financing activities for innovation companies can be divided into two main categories:

- Individual grants (in the form of grants, recoverable advances, R&D or zero-interest innovation loans) and unsecured loans (Seed Loans, Innovation Seed Loans, Innovation Loans, New Industry Loans), from the State Budget (mainly France 2030), the Regions, Europe, and Partners, and managed by the Bpifrance Network in all the Regions;
- Individual grants or grants for collaborative projects from the State Budget (mainly France 2030 and France Relance), provided as part of competitions (i-Lab and i-Nov) or calls for projects (for the structural part of France 2030: i-Demo, AAP 1^{re} Usine; for the directed portion of France 2030: the sectoral AAPs for France 2030's acceleration strategies and strategic objectives), in the form of grants and recoverable advances, managed by Bpifrance's Expertise Department.

Bpifrance has also developed a support offer for all phases of business growth (mainly start-ups and SMEs), including advice, training, contacts, international immersion missions and assistance in setting up international collaborative projects.

1.1.4. Investment

1.1.4.1 • Tasks of the Investment Division Business Line

I. Tasks of the Investment Division business line

As part of the creation of Bpifrance, the investment doctrine was adopted on 25 June 2013 by the Board of Directors of Bpifrance. This doctrine, which applies to all of the Investment division carried of Bpifrance (and therefore to Bpifrance Investissement), is summarized as follows:

Through its equity interventions, Bpifrance finances the development and growth of VSBs and SMEs, and aims at the emergence, consolidation and multiplication of mid-caps, an essential link to the competitiveness of the French economy and the development of exports.

Bpifrance's investments, in funds as well as in companies, are carried out selectively, in accordance with good professional practices, depending on the value creation potential (for the investor and for the national economy) of the companies or funds financed. However, Bpifrance is not an investor like any other. Its character as an informed investor operating under market conditions in the service of collective interest leads him to complete the investment offer of market segments characterised by a lack of private funds. As a result, Bpifrance devotes a significant part of its equity investments, from its own resources and those of third-party investors managed by Bpifrance, to the seed investment, venture capital, development capital and transfer capital segments, or to funds geared towards profitable companies in the social and solidarity economy but which, due in particular to their status, naturally attract few traditional investors. Bpifrance is also working to develop a mezzanine fund offer on the market as a complement or substitute for equity investments for companies whose shareholders would not like to open the capital to third-party investors.

In this context, all operations in which Bpifrance is involved are guided by the following principles:

- Bpifrance intervenes in order to create, via minority shareholdings, a spillover effect of private investment through public investment. Whether it invests its own resources or those of other public or private subscribers under its management, Bpifrance systematically seeks private co-investors to whom it leaves the majority of shares, in order to stimulate the investment market;
- Bpifrance is an informed investor operating under market conditions. When it co-invests, Bpifrance intervenes according to the same financial and legal provisions as the co-investors (*pari passu*). Wherever possible, it sits on the boards of directors of the companies in which it has invested and on the advisory and strategic committees of partner funds;
- Bpifrance is a patient investor. It adapts its investment horizon, particularly to the technological context of the company, and can accept that the profitability of its investments will materialise over a longer time horizon than most private investors. This is particularly the case in high-risk market segments (start-up, venture capital, R&D intensive). It supports the companies in which it invests over the long term, which does not exclude rotation of the asset portfolio in synergy with private co-investors, with a view to good risk management, freeing up room for manoeuvre to finance new investments and increasing the value of its assets;

- Bpifrance is at the service of the collective interest. In addition to the necessary assessment of the financial performance of companies (profitability, sustainability, liquidity), its investment decisions are made with regard to the impact of projects on the competitiveness of the French economy, assessed using a multi-criteria analysis grid, integrating extra-financial criteria such as export and international development potential, contribution to innovation, ESG (environmental, social and corporate governance) practices, effects on employment and regional development, role in the sector, development of family businesses, etc.
- In order to ensure that its investments effectively contribute to the growth and development of companies, Bpifrance gives priority to bringing new money to the companies in which it invests, alongside other investors. However, Bpifrance considers taking over from private equity or delisting a target through a share buyback, particularly in the following three cases:
 - The generational transmission of an SME;
 - The exit of some of the historical investors in companies with strong growth potential, especially innovative ones;
 - The purchase of participations to maintain a significant presence of French investors in the capital of companies considered sensitive or strategic.
- Bpifrance does not invest in the capital of certain categories of companies:
 - Companies dedicated to financing infrastructure construction projects. On the other hand, Bpifrance can invest in companies involved in the construction or operation of infrastructure;
 - Companies whose main activity is real estate development or property management;
 - Banks and insurance companies;
 - Opinion media and polling organisations in order to prevent conflicts of interest and maintain neutrality;
 - Semi-public companies (SEM) which may also be the subject of investment by the Caisse des Dépôts.

Any investment decision likely to lead to competition with other Caisse des Dépôts Group entities will be subject to specific coordination.

- Bpifrance may exceptionally intervene in the Turnaround Capital segment, which aims to turn around companies in difficulty, particularly for SMEs and the smallest of the intermediate-sized enterprises, taking special precautions. Indeed, this type of investment is by nature contrary to Bpifrance's guiding principles for three reasons:
 - They generally require a majority investment in order to have disposal to all the levers of action;
 - Public investments in companies in difficulty are subject to a presumption of State aid and must therefore be notified to the competition authorities, leading to longer delays and even a risk that the investment operation will not be carried out;
 - The restructuring of companies in difficulty would subject Bpifrance, a public investor, to significant image risks.

In view of these factors, Bpifrance favours investments in Turnaround Capital by investing in minority shares, alongside private investors, in funds managed by specialised independent teams.

In its application, this doctrine also takes into account the logic of socially responsible investment and promotes it among its partner funds and the companies financed within a clear ethical framework.

Exception for Fintechs

- Although investments in the capital of banks and insurance companies are not authorised in general, Bpifrance Investissement may nevertheless invest in Fintechs with banking or insurance authorisations. A Fintech is any company that meets all the following conditions:
 - Start-up or fast-growing SME;
 - Possessing or in the process of developing an innovative technology or business model, allowing it to differentiate itself from traditional players whose business model is largely based on the intensive use of their balance sheet;
 - Offering financial products or services, and/or products or services for the financial sector.

Investments in these Fintechs will aim to acquire participations in companies with technological or strategic interest for Bpifrance's businesses, in a corporate venture approach, and/or to contribute to the emergence of European champions. Equity investments must systematically be minority and made alongside a regulated or financial player, and Bpifrance Investissement must not be or become the largest shareholder in the category encompassing both regulated and financial investors, nor a reference shareholder in such companies.

Any investment decision likely to lead to competition with other Caisse des Dépôts Group entities will be subject to specific coordination.

II. Investment business lines

Bpifrance's investment activities are structured around out three business lines:

- The Capital Development business line invests directly in equity, quasi-equity and debt to support SMEs, intermediate-sized enterprises and large French companies in their development and growth projects. With 53 regional offices throughout France, the 160 professional investors in this department play an active role as minority investors seeking long-term sustainable and responsible performance for their participations.

This department includes the activities of:

- Large-Cap and Sovereign Wealth Fund Partnerships, in order to support the development of mid-cap and large French companies and to partner with long-term investors and sovereign wealth funds (17.4 billion euros under management);
- Mid-Cap, in order to accelerate the growth of independent SMEs and mid-caps with high potential (2.5 billion euros under management);
- Small-Cap, in order to grow SMEs and mid-caps in our regions (2 billion euros under management);
- Specialised Funds (Tourism, Environmental Impact Funds, Auto, Lac 1), in order to address specific identified needs through management on behalf of third parties (5.8 billion euros under management).

In total, the Development Capital portfolio consists of more than 750 investments with assets under management of 27.7 billion euros ⁴.

- The Fund of funds business line primarily invests in and monitors partner funds subscribed via funds of funds managed on its own account, as part of the SME Innovation (FPCR 2000, FCIR, FFT3 and FPMEI), and France Investissement (FFI-A, FFI-B, FFI II, FFFI III, FFI IV, FFI V, FFI VI) programmes.

The Fund of funds business line also manages funds on behalf of third parties:

- Investing in the Future programme (PIA), the France 2030 Plan:
 - National Seed Fund (FNA) and National Seed Fund N°2 (FNA 2);

⁴ Excluding 1 billion euros of LAC 1 debt.

- Fonds de Fonds MultiCap Croissance (FFMC2), Fonds MultiCap Croissance N°3 (MC3) and Fonds MultiCap Croissance N°4 (MC4);
- Fonds de Fonds de Retournement (FFR);
- Fonds de Fonds Quartiers Prioritaires (FFQP);
- Fonds de Fonds Edtech (FFE);
- French Tech Acceleration Fund and French Tech Acceleration 2 Fund, co-managed with the Innovation Department;
- Fonds Accélération Biotech Santé (FABS), co-managed with the Innovation Department and the Industrial Projects Equity Department,
- Fonds National de Venture Industriel (FNVI),
- ICC / Tech & Touch Fund, co-managed with the Innovation Department;
- Caisse des Dépôts Group:
- FFI 3+;
- Mandat Paris Green Fund;
- Digital 1 Fund of Funds and Digital 2 Fund of Funds ;
- Growth Fund of Funds, underwritten by the CDC and insurers;
- Fonds France Relance Etats-Régions (FFRER) as part of the Facilité pour la Reprise et la Résilience recovery plan and the Plan National de Relance et de Résilience (PNRR) ;
- France PME Régions underwritten by Allianz;
- Mandat APE, as part of the Aeronautics Support Plan;
- Fonds d'Avenir Automobile 2, co-managed with the Capital Development Department;
- Secondary funds and mirrors of funds aimed at private individuals:
 - Bpifrance Hexagone 1;
 - Bpifrance Hexagone 2.
- Primary fund aimed at private individuals:
 - Bpifrance Entreprises Avenir 1.

Since 2020, the Funds of Funds business line has been managing an activity aimed at private individuals. Three generations of funds have already been marketed: Bpifrance Entreprises 1, Bpifrance Entreprises 2 and Bpifrance Entreprises Avenir 1 (launched in 2023).

- **The Innovation Capital business line** invests directly in French start-ups and scale-ups positioned in sectors of the future, in particular biotechnology, environmental technologies, digital and creative industries, or industry. Investment teams are structured by investment divisions dedicated to sectors or stages of intervention and act on behalf of funds held in equity by Bpifrance Participations, or held by third parties (including some funds from the Investing in the Future Program).

The business line is structured around investment units distinguished by sector or stage of intervention:

- The Large Venture unit, which invests via Bpifrance Participations and the Bpifrance Innovation I - Large Venture 2 fund in all areas of innovation (mainly fast-growing companies in the digital and life sciences sectors), with investments of 10 million euros or more;
- The Digital Venture unit, which invests via the Ambition Numérique and Ambition Seed Angels funds and the Bpifrance Innovation I - Digital Venture Seed & Digital Venture AB funds in digital start-ups at the seeding and series A and B stages;
- The Life Sciences unit, which operates in the Biotech and Medtech sectors via the InnoBio 1 and 2, Innovative Biotherapies and Rare Diseases, FABS and Bpifrance Innovation I - Medtech funds;
- The Autonomous Patient unit, which operates in the digital health sector through the Autonomous Patient fund;
- The Ecotechnologies unit which intervenes via the Ecotechnologies 1 and 2, Ville de Demain and Bpifrance Innovation I - Impact funds;

- The French Tech Acceleration unit, which intervenes via the FTA and FTA2 funds to support accelerators and accelerator investment funds;
- The Deeptech Venture unit, which operates through the PSIM, Definvest, and the Innovation Défense and French Tech Seed Funds;
- The Cultural and Creative Industries unit which intervenes via the following funds: The Excellence Know-how Fund (Fonds pour les Savoir-Faire d'Excellence (FSFE)), Fashion and Finance 2 (Mode et Finance 2), Heritage and Creation 2 (Patrimoine et Création 2), Bpifrance Mezzanine I, Bpifrance Capital I and Tech&Touch.
- The Industrial Project Investments unit, which manages the SPI and SPI2 funds, to support Deeptech start-ups with equity capital until industrialisation;
- The Industrial Seed Investment unit, which operates through the Bpifrance Industrial Seed fund to support start-ups and SMEs in the industrialisation phase.

The Innovation Support teams are grouped within **Bpifrance Le Hub** and work mainly with start-ups in Bpifrance's portfolio.

Finally, Bpifrance was involved in the deployment of the new **French Tech Sovereignty Fund**.

1.1.4.2 • How the various investment business lines operate

Bpifrance's investment activity is based on two different operating methods: direct investment and indirect (or fund of funds) investment.

- Direct investment whereby the Bpifrance Investment teams themselves:
 - appraise projects to invest in the capital of target firms (carry out due diligence, negotiate entry values and the terms of shareholders' agreements: condition of representation on the governing body, any exit clauses, etc.),
 - Execute the investment transactions,
 - Subsequently monitor the participating interests (participation in governance bodies, any reinvestments, etc.) until their disposal;
 - Indirect investment whereby the Bpifrance Investment teams appraise projects and make subscriptions that they subsequently monitor throughout their lifetime, not in companies, but in funds managed by private management teams who, in turn, will invest directly in the companies.
- A second key difference of the investment business line as it operates at Bpifrance Investissement, whether directly or indirectly, is that in terms of investing in capital, Bpifrance acts:
 - either on its own behalf: thus exposing its own balance sheet;
 - or on behalf of a third party: in this instance, Bpifrance is solely the manager of the resources entrusted to it by other actors.

The majority (39.1 billion euros of the 53.7 billion euros in assets under management as at 30 June 2024) of Bpifrance's equity investments are therefore made from the group's own capital held by Bpifrance Participations. A minority share (14.6 billion euros as at 30 June 2024), which is nevertheless significant and has been growing in recent years (3.5 billion euros at the end of 2015), of equity investment is made from resources that have been entrusted to Bpifrance by public or private investors (limited partners or LPs). Historically, since 2010, the French State, through the PIA (and subsequently France 2030) equity programmes, has been the main provider of funds for this activity. More recently, the share of private LPs (insurers, industrialists, sovereign funds, the EIF) has been rising, in particular since the creation of the Lac 1 fund in 2020.

1.1.5. International

The international business line spans two departments: the International and European Affairs Department, and the Export Department.

Bpifrance's Export Department is structured around three business lines:

1.1.5.1 • Export Insurance

Since 1 January 2017, Bpifrance ensures through Bpifrance Assurance Export the management of public export guarantees in the name of, on behalf of and under the control of the French State. Before that, this activity was carried out by Coface.

The guarantee is granted directly by the State, thus demonstrating the French State's support for exporters. These guarantees to exporters are intended to encourage, support and secure French exports financed over the medium- and long-term as well as French investments abroad.

More specifically, Bpifrance Assurance Export offers a range of solutions to support the prospecting of foreign markets, to facilitate the issuing of guarantees and the granting of pre-financing by banks, to secure exports and investments abroad, to make the financing offered to foreign clients competitive and to protect against currency fluctuations.

Bpifrance Assurance Export manages public guarantees in strict compliance with the international rules of the World Trade Organisation, the European Union and the OECD.

Bpifrance Assurance Export is organized into four divisions:

1. Key Accounts;
2. Mid-Sized Companies (Mid-caps) and SMEs;
3. International relations, development of the offer and rating;
4. Claims, consolidations and recovery.

1.1.5.2 • Export financing

In an increasingly competitive international environment, French companies must support their technical and commercial tenders with financing proposals in order to win markets that will be the relays of their future growth.

Since 2015, the Export Finance Department has been offering medium-long-term financing solutions to exporting companies domiciled in France for their foreign buyers, whether they are state, public, private or project companies.

Regardless of the sector of activity (transport, energy, water, defence, industrial equipment, etc.) and the continent of destination, Bpifrance's Export Finance Department offers export credits, with the cover of Bpifrance Assurance Export, in the form of

- Purchase of supplier credit (from 1 to 25 million euros) ;
- Bilateral buyer credit (from 5 to 25 million euros) or equity (up to 75 million euros).

This allows exporters to mitigate counterparty risks while offering their buyers competitive, long-term financing solutions.

1.1.5.3 • International development

The aim of the Export Development department is to increase the international market share of French companies. Based in France and abroad, the Bpifrance and Business France teams supported 4,154 companies through international missions and bespoke prospecting initiatives.

- Every year, Business France and its export partners organise more than fifteen international missions in 7 specific mission formats;
- The presence of the Bpifrance international team* helps strengthen business flows in all strategic sectors on 5 continents through meetings with public and private buyers with the support of the best local partners and experts;
- The Export Development team has a comprehensive role: it offers its customers a full range of financing, insurance, investment, and support solutions to meet the needs of companies at various levels of maturity;

- Bpifrance has 9 international offices: Mexico City, New York, Abidjan, Casablanca, Nairobi, Dakar, Düsseldorf, Dubai, and Singapore.

The Department of International and European Affairs is an operational and transversal directorate.

In collaboration with all of Bpifrance's management teams, it strives to contribute to the influence of the Group and its model, as well as to the development of its businesses internationally, thanks to the strength of its European and international network, and its in-depth knowledge of institutional actors, sovereign funds and long-term investors.

It invests in and fosters dense relations and partnerships with multiple actors: institutions, investors, support structures, associations, companies, public authorities. To this end, the Department is structured around 5 dedicated teams in constant contact with all our partners.

The team of Fund of funds investors in Africa, Averroès Africa, currently manages 4 investment vehicles and monitors 30 participations. Its objectives are to participate in the growth of private equity on the continent, the profitability of its investments and the development of the business relationships of its underlying portfolio with French companies, within the framework of Bpifrance's policy in favour of sustainable development.

The EuroQuity team runs a digital platform for connecting companies and their development partners, in France and internationally, particularly in Europe and Africa.

The Europe team ensures Bpifrance's lobbying and regulatory monitoring with European authorities and mobilizes European financial resources for the benefit of Bpifrance and French companies. It builds and encourages partnerships with Bpifrance's counterparts and any other foreign entity in Europe.

The International Expertise team constructs and manages partnerships with Bpifrance's counterparts and any other foreign entity in the world, outside Europe. It provides technical assistance to foreign institutions and governments wishing to expand development banking activities or products based on the Bpifrance model. It is particularly active in Africa, Europe and the Middle East.

Finally, the mission of the Sovereign Wealth Funds & Long-Term Investors team is to develop our relationships with international investors, within the framework of partnership agreements or management on behalf of third parties, so that they invest in French companies, in particular through vehicles managed by Bpifrance Investissement. It also ensures that Bpifrance is recognized as a sovereign wealth fund among its peers.

In 2023, the International and European Affairs Directorate continued the effort to develop its activities in Europe, Africa and the Middle East, to promote the Bpifrance model, attract funds for the benefit of French companies, and facilitate the connection between the latter and potential partners.

1.1.6. Business Support

Business Support: Bpifrance's Support business line is managed by an Executive Department, which provides a comprehensive range of services (advice, training, and networking). This department is structured into 7 divisions reporting directly to the Executive Director. It works with Le Hub and Bpifrance Excellence, which report to the Executive Director, as well as with the consulting team at the Innovation Development and Support Division.

In 2023, the Executive Support Department was reorganised into 7 departments, all of which are committed to working together in an interdisciplinary manner:

1. **Development:** designs support products, improves the existing range, negotiates and enters into agreements with partners (the State, the CDC, Regions, Europe, professional organisations, etc.), manages the preparation and monitoring of the strategic support plan;
2. **Marketing and Commercial Assistance:** Promotes the Support products, defines the marketing strategy and assists the network in its efforts to recruit Support clients;
3. **Accelerators:** disseminates information about new products and programmes, creates and distributes marketing materials, trains influencers and drives marketing, organises the implementation of Accelerator programmes;

4. Consultancy and operational management: participates in the design and implementation of Consultancy and Diag'Actions projects, manages Consultancy and Accelerator activities, shapes and manages the pool of external consultants and consultancy firms;
5. University: defines the content and formats of training courses for managers, both face-to-face and digital, inside and outside the Accelerators, and signs contracts with service providers; also ensures and certifies the quality of internal and external coaching staff in terms of technical skills and orientation;
6. Steering and Management: manages administrative follow-up with customers (contracts, invoices) and calls for funds from partners, collects and produces activity indicators for reporting, monitoring, and analysis purposes;
7. Expertise unit: works transversally with the Support Departments on 3 strategic areas: Climate, Industry of the Future, and Industrial Start-Ups and SMEs.

At the same time, the drive to decentralise Support is continuing, with the deployment of 26 advisory managers in the regions, as well as the full appropriation of the Support business line by the Bpifrance network, with 27 regional Support managers or Business managers by the end of 2023.

1.1.7. Business creation

Bpifrance's mission is to support and strengthen national and local action in favour of business creation by entrepreneurship support networks throughout France, in particular in Priority Urban Areas (PUA), with the aim of increasing:

- Territorial coverage and clarity of the networks' support offer;
- Support for project leaders and entrepreneurs;
- Initiatives to raise awareness and promote entrepreneurship among various target groups, particularly young people and women.

To carry out these missions, Bpifrance supports the actors involved in supporting business creation in order to better:

- Raise awareness, prepare and direct project sponsors;
- Support and finance these projects, in particular through unsecured loans and bank loan guarantees;
- Work for everyone, throughout the country;
- Monitor developments in business creation and professionalise support networks to better meet the entrepreneurs' needs.

1.2. Business activities during the first half of 2024

1.2.1. Credit activity (including innovation loans, digital loans and export credit)

Medium Long Term

Production of new credits during the first half of 2024 was slightly down on the first half of 2023 (4.7 billion euros at the end of June 2024 versus 4.9 billion euros at the end of June 2023, i.e. -3.5%). This is primarily due to a drop in innovation loans (-29.8%) and export credit (-63.6%).

The Financing business line (including the Digital channel) demonstrated good resilience over this period, posting growth of 1.7% despite a highly competitive environment.

Short-Term

As regards short-term financing, it continues its planned decline for the financing of the employment tax credit (CICE) (-90.4%) but is up by 4.6% for the financing of trade receivables (Advance +) in the first half of 2024 compared with the first half of 2023.

1.2.2 Aid for Innovation

The financing of innovation through aids activity posted a significant drop of -2.4 billion euros (3.0 billion euros in agreements as at 30 June 2024 versus 5.4 billion euros as at 30 June 2023) compared to the first half of 2023, which was a record year.

The first half of the year saw the signature, at the end of June, of the Prologium file for 1.4 billion euros (financing in the form of a grant under the targeted component of France 2023 to establish an electric car battery manufacturing plant at the Dunkirk Grand Port Maritime by 2026).

1.2.3. Guarantee

The guarantee business was slightly down by -2.7% for local funds and regional guarantee funds, with 2.3 billion euros authorised at the end of June 2024 versus a similar 2.3 billion euros authorised at the end of June 2023.

1.2.4. Investment

2 billion euros had been invested by the various Investment business lines at mid-2024, namely an increase of +7% compared to the figures as at 30 June 2023.

This figure breaks down as follows by business line:

- Over 1.3 billion euros has been invested in capital development, a rise of +40% compared to the figures posted on 30 June 2023. This is primarily due to the business carried out by the Lac 1 fund at mid-year (c. 0.7 billion euros). This fund has made two new investments for nearly 0.6 billion euros and has reinvested in two participating interests for a little over 0.1 billion euros. The activity of the Small, Mid and Large Cap teams continues its positive trend with figures of nearly 0.6 billion euros, slightly up (+4%) compared to the high level of business seen in the first half of 2023;
- In a context that remains marked by uncertainties on the venture capital market, the activity carried out by the various Innovation business lines stands at 0.35 billion euros at mid-year (+8% compared to 30 June 2023) with a slight increase in activities on own account at over 0.1 billion euros (Large Venture, Deeptech Venture) ;

- In a context in which fundraising is more complex, subscriptions in partner funds posted a drop of 0.3 billion euros over the first six months of the year, i.e. a level close to half of that recorded at mid-2023. This delay should nevertheless be partially compensated given the level of commitments authorised and the subscriptions made in July 2024.
- The various capital growth business lines posted nearly 0.3 billion euros in disposals and redemption income, a figure that is stable compared to 30 June 2023. The disposal activity carried out on the Large Cap portfolio is set to accelerate during the second half of the year. Note that the disposal activity of Small and Mid-Cap funds remained stable;
- Less than 30 billion euros were posted for the disposal transactions made by the various Innovation business lines (-69% compared to 30 June 2023). This slowdown is only visible at mid-year, in particular, due to two total disposals made in July 2024 for a sum of between 75 and 80 billion euros;
- The distributions carried out by partner funds were stable at 0.3 billion euros at the end of the first half of 2024.

1.2.5. Business Support

In the first half of 2024, the number of new accelerated companies remains high at 449 compared to 437 in the first half of 2023. The number of consultancy assignments is also high at 4,539, up sharply by +1,532 or +50.9% over the period.

1.2.6. Creation

In the first half of 2024, 9,294 unsecured loans were disbursed compared to 9,365 in the first half of 2023, i.e. a slight drop of 0.8%.

1.2.7. Export insurance (on behalf of the State)

In Credit Insurance, the level of activity remains high with 83 guarantee applications accepted for a total of 4.6 billion euros.

2. COMMENTS ON THE RESULTS

2.1. Loans to clients

At 30 June 2024, outstandings from all financing activities were stable at 49.1 billion euros, compared to 49.2 billion euros at 31 December 2023.

Lease purchase transactions (excluding collective impairment) were up slightly at 6.4 billion euros, compared to 6.3 billion euros at 31 December 2023.

Collective impairment totalled on the outstanding balance sheet was 462.7 million euros at 30 June 2024.

2.2 Financial assets at fair value through equity

The portfolio of assets at fair value through equity is down by 0.4 billion euros, having fallen from 17.1 billion euros as at 31 December 2023 to 16.7 billion euros as at 30 June 2024.

The change in value of this category was -0.8 billion euros for the first half of 2024.

2.3. Holdings in equity-consolidated companies

At 30 June 2024, the increase in this item in the amount of 0.2 billion euros is due in particular to the net result of the company STMicroelectronics.

2.4. Commitments made to clients

At 30 June 2024, the Bpifrance Group's commitments made to clients totalled 24.5 billion euros, compared to 24 billion euros at 31 December 2023.

The commitment to guarantees is slightly up at 14.2 billion compared to 14 billion euros at 31 December 2023.

2.5. Income Statement

The net result as at 30 June 2024 was 706 million euros. This amounts to almost two-thirds of the budget for the whole of 2024. It amounted to 833 million euros at 30 June 2023.

Net banking income was 1,245 million euros for the first half of 2024, up by 10% compared to the first half of 2023 (1,128 million euros). This increase is primarily due to:

- The good resilience of the credit business lines in a highly competitive environment
- The contribution of Large Cap dividends, the majority of which were recognised in the first half of the year
- The resilience of the fund of funds business line

Operating costs (including charges to depreciation, amortisation and impairment on tangible and intangible fixed assets), which support and underpin the growth of the group's activity, posted an increase of 31 million euros as compared to the first half of 2023, i.e. an increase of 6%.

The cost of risk resulted in a net charge of -118.7 million euros as at 30 June 2024 compared to a net writeback of 21.3 million euros as at 30 June 2023. The net charges for proven risks, which amount to -117.9 million euros, have increased by 36.6% as compared to the end of June 2023.

Writebacks for expected risks that amounted to 107.6 million euros as at 30 June 2023 recorded a sharp drop for the period to result in a charge of -0.8m as at 30 June 2024. This stability in the inventory of provisions for expected risks is primarily due to the anticipation of an expected model effect in the second half of the year, partially compensated by a simultaneous reduction in sectoral adjustments.

The contribution to net income from equity affiliates amounts to 155 million euros at 30 June 2024 and includes in particular the contribution of ST Microelectronics for 145 million euros, which includes an impact of 63 million euros generated by the optional component of the exchangeable bonds issued by the company. Note the negative contribution from Eutelsat of -12 million euros in relation to the negative share in the company's results and the writeback of the provision made. Soitec's contribution to net profit was 11 million euros.

3. FORESEEABLE CHANGES IN 2024

As at 30 June 2024, Bpifrance was in line with its budgetary forecast.

This progress will be borne out in the second half of 2024 if the equity markets hold up and if the failure rate remains better than predicted in terms of credit risks.

APPENDIX

Key figures

1. Key figures for Bpifrance in the first half of 2024

- Activity

Investment Activity					
In millions of euros	2022	2023	Change 2023	H1 2023	H1 2024
Assets under management	50,284	51,950	1,666	51,328	53,715,
Fund of funds	16,979	17,596	618	17,447	18,125,
Innovation	6,540	6,969	429	6,860	7,867,
Lac 1	3,898	3,898	0	3,898	3,898
Capital Development (excl. Lac 1)	22,868	23,487	620	23,123	23,825

Banking activity					
In millions of euros	2022	2023	Change 2023	H1 2023	H1 2024
Mid-long-term financing - Investment co-financing*	9,829	10,247	419	4,903	4,733
Short-term financing - Mobilisation of Receivables	4,199	4,247	48	4,184	4,209
Short-term financing - Pre-financing of the CICE	733	71	-662	261	25
Amount of risks guaranteed (excluding internal funds)	4,109	4,335	226	2,170	2,133
Amount of risks guaranteed by Bpifrance Régions	350	350	0	168	143
Innovation Grants	3,875	8,914	5,039	5,404	2,975

*Including PSG Innovation, Export Credit and Digital Credit

- Performance

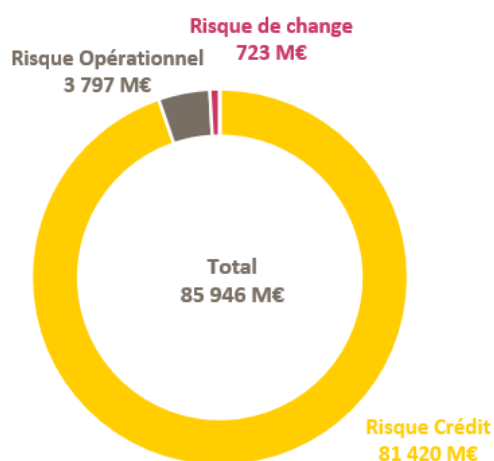
Performance indicators - Bpifrance					
In millions of euros	2022	2023	Change 2023	H1 2023	H1 2024
Net banking income	2,131	2,014	-117	1,128	1,245
of which Bpifrance Participations	1,162	1,034	-128	670	739
Operating costs	-900	-1,053	-153	-513	-544
Risk cost	-163	-56	107	21	-119
Operating income	1,068	904	-163	637	583
Contribution from equity affiliates	499	315	-183	250	156
Net income	1,503	1,114	-389	833	706
In millions of euros	2022	2023	Change 2023	H1 2023	H1 2024
Change in value (€m) ⁵	-1.741	4.305	6.046	3.550	-1.277
Return on Equity ⁶	5.5%	3.7%	-1.8%	5.7%	4.7%

⁵ The change in value corresponds to the annual change in revalued net assets, adjusted for dividends and capital injections. The change in unrealised capital gains/losses corresponds to the change in the value of securities at Fair Value per equity and the changes in the market value of equity-consolidated companies

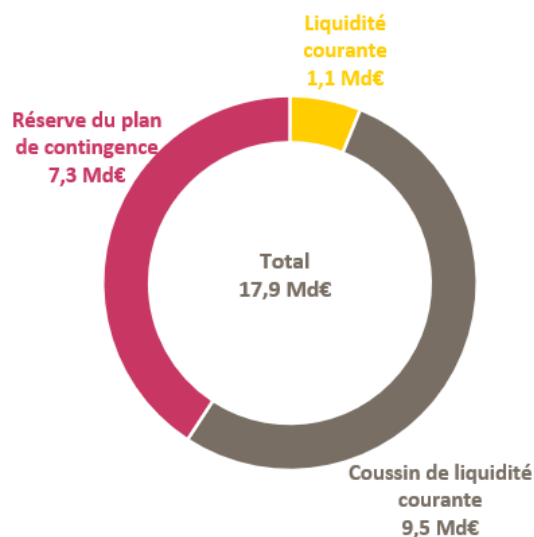
⁶ Net profit / IFRS equity (annualised)

	31/12/2022	31/12/2023	30/06/2024
CET1 Ratio	27.55%	29.52%	28.03%
Leverage ratio	19.09%	21.13%	20.53%
LCR liquidity ratio	427%	368%	268%

Risques pondérés par type de risque



Coussin de liquidité mobilisable



Definition of liquidity reserves:

- **Current liquidity:** assets that can be mobilised in one day, comprising cash, money market funds, and a portfolio of sovereign bonds
- **Current liquidity buffer:** highly liquid financial and commercial assets that can be mobilised in less than a week
- **Contingency plan reserve:** financial assets that can be mobilised in the event of a proven stress situation

2. Financial figures as at 30 June 2024 consolidated at the level of the Bpifrance public industrial and commercial establishment (EPIC)

(In millions of euros)	2022	2023	Change 2023/2022	H1 2023	H1 2024
SHAREHOLDERS' EQUITY, GROUP SHARE	28,881.8	15,713.2	-45.6%	23,447.8	15,672.7
RESULTS					
Operating income before other revenue and expenses	-24.7	-60	142.9%	-34.3	-15.4
Operating income	-24.7	-60	142.9%	-34.3	-15.4
Operating income after share of net income of equity-consolidated companies Result before tax	712.5	474	-33.5%	375.1	332.8
Operating income	900.5	208.3	-76.9%	388.9	355.7
Operating income after share of net income of equity-consolidated companies	880.4	190.6	-78.4%	379.4	348.4

(Unaudited financial figures)

The consolidated financial statements of the Bpifrance public industrial and commercial establishment (EPIC) include the consolidated financial statements of Bpifrance SA applying the equity method and the financial statements of the parent company.

The drop in equity between 31 December 2023 and 30 June 2024 is primarily due to the change in the gains and losses recognised directly in equity (579.5 million euros as at 30 June 2024 compared with 1,005.2 million euros as at 31 December 2023). Net income for the first half of 2024 is comprised essentially of the share of Bpifrance SA's net income of 342.6 million euros.

II. CONSOLIDATED ACCOUNTS AS AT 30 JUNE 2024

Bpifrance consolidated balance sheet as at 30 June 2024

ASSETS <i>(In millions of euros)</i>	30/06/2024	31/12/2023
Cash in hand, central banks	1,676.5	2,921.8
Financial assets at fair value through profit or loss	7,766.0	7,544.8
Hedging derivatives	87.2	60.9
Financial assets at fair value through equity	16,668.7	17,100.2
Securities at amortised cost	9,653.0	9,430.2
Loans and receivables owed by credit institutions and similar entities, at amortised cost	1,658.8	1,601.4
Loans and receivables owed by clients, at amortised cost	49,060.1	49,185.6
Finance leases and similar transactions, at amortised cost	6,379.1	6,283.0
Innovation financing aid	857.5	866.0
Fair value adjustments to debt portfolios hedged against interest rate	-1,404.0	-1,115.6
Current and deferred tax assets	201.2	331.8
Accruals and miscellaneous assets	1,486.4	1,421.0
Non-current assets held for sale	0.0	0.0
Holdings in equity-consolidated companies	4,344.9	4,170.7
Investment property	0.0	0.0
Tangible fixed assets	225.5	233.4
Intangible assets	342.7	330.0
Goodwill	2.1	2.1
TOTAL ASSETS	99,005.7	100,367.2



Bpifrance consolidated balance sheet as at 30 June 2024

LIABILITIES (In millions of euros)	30/06/2024	31/12/2023
Central banks	0.0	0.0
Financial liabilities at fair value through profit or loss	0.0	0.0
Hedging derivatives	7.8	14.5
Debts owed to credit institutions and similar entities	10,797.1	13,532.9
Debts owed to clients	1,997.3	1,996.4
Debts represented by securities	44,082.4	42,210.1
Fair value adjustments to debt portfolios hedged against interest rate	-1,123.1	-869.0
Current and deferred tax liabilities	84.7	93.1
Accruals and miscellaneous liabilities	3,508.6	3,602.0
Lease liabilities	122.9	127.3
Debt related to non-current assets held for sale	0.0	0.0
Provisions	101.9	99.7
Net resources for innovation-related activity	2,357.9	2,508.8
- Allocated to commitments	1,228.3	1,198.1
- Not allocated	1,129.6	1,310.6
Public guarantee funds	7,055.8	6,983.8
- Allocated to commitments	2,361.0	2,195.4
- Not allocated	4,694.9	4,788.4
Subordinated debt	7.2	7.2
Shareholders' equity	30,005.0	30,060.5
Shareholders' equity - Group share	29,644.8	29,997.4
- Capital and related reserves	21,122.4	21,122.4
- Consolidated reserves	6,640.4	5,722.3
- Gains and losses directly recognised in shareholders' equity	1,175.0	2,038.1
- Result	707.0	1,114.6
Minority interests	360.2	63.1
- Reserves	361.3	63.5
- Result	-1.1	-0.4
TOTAL LIABILITIES	99,005.7	100,367.2

Bpifrance publishable consolidated profit and loss statement

(In millions of euros)	30/06/2024	31/12/2023	30/06/2023
Interest and similar income	1,784.6	3,356.8	1,537.3
Interest and similar expenses	-1,340.7	-2,483.9	-1,116.9
Net gains or losses resulting from net position hedging	0.0	0.0	0.0
Fees (income)	58.7	116.9	54.3
Fees (expenses)	-2.6	-3.0	-1.4
Net gains or losses on financial instruments at fair value through profit or loss	131.7	231.5	108.0
Net gains or losses on financial instruments at fair value through equity	495.5	586.9	459.0
Net gains or losses resulting from the derecognition of financial assets at amortised cost	-0.3	0.0	0.0
Net gains or losses resulting from reclassification of financial assets at amortised cost as financial assets at fair value through profit or loss	0.0	0.0	0.0
Net gains or losses from reclassification of financial assets at fair value through equity to financial assets at fair value through profit or loss	0.0	0.0	0.0
Revenue from other activities	163.9	344.9	139.2
Expenses from other activities	-45.9	-136.2	-51.1
	,	,	,
NET BANKING INCOME	1,245.0	2,013.8	1,128.4
	,	,	,
General operating expenses	-490.2	-950.6	-466.5
	,	,	,
Amortisation & depreciation allowances on property, plant and equipment and intangible assets	-53.4	-102.4	-46.1
	,	,	,
GROSS OPERATING INCOME	701.4	960.7	615.8
	,	,	,
Cost of credit risk	-118.7	-56.3	21.3
	,	,	,
NET OPERATING INCOME	582.7	904.4	637.1
	,	,	,
Share of net income of companies accounted for by the equity method	155.7	475.3	242.8
Net gains or losses on other assets	0.4	-169.8	0.6
Changes in the value of goodwill	0.2	9.7	6.8
	,	,	,
PRE-TAX INCOME	739.0	1,219.5	887.3
	,	,	,
Tax on profits	-33.1	-105.3	-53.8
Net tax result of discontinued activities	0.0	0.0	0.0
	,	,	,
NET INCOME	705.9	1,114.2	833.5
	,	,	,
Minority interests	-1.1	-0.4	0.2
	,	,	,
NET INCOME - GROUP SHARE	707.0	1,114.6	833.3
Earnings per share (in euros)	1.04	1.64	1.23
Diluted earnings per share (in euros)	1.04	1.64	1.23

**Net income and gains and losses recognised directly
in the equity of Bpifrance**

<i>(in €m)</i>	30/06/2024	31/12/2023	30/06/2023
NET INCOME	705.9	1,114.2	833.5
Items that can be reclassified (recyclable) in net income			
<i>Conversion adjustments</i>	0.0	0.0	0.0
<i>Revaluation of recyclable financial assets at fair value through equity</i>	-43.3	34.3	14.2
<i>Revaluation of hedging derivatives on recyclable items</i>	0.0	0.0	0.0
<i>Share of gains and losses recognised directly in the equity of equity-consolidated companies using the equity method</i>	46.3	-68.1	-48.5
<i>Other items recognised through equity and recyclable</i>	0.0	0.0	0.0
<i>Related taxes</i>	11.2	-8.9	-3.7
Items that cannot be reclassified (non-recyclable) in net income			
<i>Revaluation of fixed assets</i>	0.0	0.0	0.0
<i>Revaluation (or actuarial gains and losses) on defined benefit plans</i>	0.0	-1.4	0.0
<i>Revaluation of own credit risk of financial liabilities subject to fair value through profit or loss option</i>	0.0	0.0	0.0
<i>Revaluation of non-recyclable equity instruments recognised at fair value through equity</i>	-687.9	2,036.3	1,349.1
<i>Share of gains and losses recognised directly in equity of companies accounted for using the equity method that cannot be recycled</i>	23.6	63.0	107.3
<i>Other non-recyclable items recognised through equity</i>	0.0	0.0	0.0
<i>Related taxes</i>	-127.2	26.6	-4.0
TOTAL GAINS AND LOSSES RECOGNISED DIRECTLY IN EQUITY	-777.3	2,081.9	1,414.4
	,	,	,
NET INCOME AND GAINS AND LOSSES RECOGNISED DIRECTLY IN EQUITY	-71.4	3,196.1	2,247.9
Of which, Group share	-72.5	3,191.3	2,241.7
Of which, share of minority interests	1.1	4.8	6.3
Amount of non-recyclable items transferred to reserves	83.8	467.7	110.8

Change in equity Table

	Capital and related reserves	Consolidated reserves	Gains and losses directly recognised in shareholders' equity	Net income Group share	Shareholders' equity Group share	Shareholders' equity Minority share	Total consolidated equity
<i>(in €m)</i>							
Position as at 31/12/2022	21,122.4	4,351.7	453.2	1,503.2	27,430.5	72.2	27,502.7
Earnings allocated to reserves	0.0	1,503.2	0.0	-1,503.2	0.0	0.0	0.0
Changes in gains and losses recognised directly in equity	0.0	110.8	1,345.5	0.0	1,456.3	6.1	1,462.4
<i>Change in value of financial instruments impacting non-recyclable equity</i>	0.0	0.0	1,437.3	0.0	1,437.3	6.1	1,443.4
<i>Change in value of financial instruments impacting recyclable equity</i>	0.0	0.0	19.0	0.0	19.0	0.0	19.0
<i>Transfer of non-recyclable equity instruments recognised at fair value through equity</i>	0.0	110.8	-110.8	0.0	0.0	0.0	0.0
<i>Profit and loss for the year</i>	0.0	0.0	0.0	833.3	833.3	0.2	833.5
Actuarial gains and losses on defined benefit plans	0.0	0.0	9.1	0.0	9.1	0.0	9.1
Conversion adjustments	0.0	0.0	-57.0	0.0	-57.0	0.0	-57.0
Distribution of dividends	0.0	-406.8	0.0	0.0	-406.8	-1.1	-407.9
Elimination of self-owned securities	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Changes in scope	0.0	14.9	0.4	0.0	15.3	-6.8	8.5
Miscellaneous	0.0	-7.8	0.0	0.0	-7.8	0.0	-7.8
Position as at 30/06/2023	21,122.4	5,566.0	1,751.2	833.3	29,273.0	70.6	29,343.6
Earnings allocated to reserves	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Changes in gains and losses recognised directly in equity	0.0	356.9	330.3	0.0	687.1	-0.9	686.3
<i>Change in value of financial instruments impacting non-recyclable equity</i>	0.0	0.0	673.3	0.0	673.3	-0.9	672.4
<i>Change in value of financial instruments impacting recyclable equity</i>	0.0	0.0	13.8	0.0	13.8	0.0	13.8
<i>Transfer of non-recyclable equity instruments recognised at fair value through equity</i>	0.0	356.9	-356.9	0.0	0.0	0.0	0.0
<i>Profit and loss for the year</i>	0.0	0.0	0.0	281.3	281.3	-0.6	280.7
Actuarial gains and losses on defined benefit plans	0.0	0.0	-0.4	0.0	-0.4	0.0	-0.4
Conversion adjustments	0.0	0.0	-18.6	0.0	-18.6	0.0	-18.6
Distribution of dividends	0.0	-122.1	0.0	0.0	-122.1	-3.0	-125.1
Elimination of self-owned securities	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Changes in scope	0.0	-70.3	-24.5	0.0	-94.8	-3.1	-97.9
Miscellaneous	0.0	-8.2	0.0	0.0	-8.2	0.0	-8.2
Position as at 31/12/2023	21,122.4	5,722.3	2,038.1	1,114.6	29,997.4	63.1	30,060.5
Earnings allocated to reserves	0.0	1,114.6	0.0	-1,114.6	0.0	0.0	0.0
Changes in gains and losses recognised directly in equity	0.0	83.8	-903.5	0.0	-819.7	2.2	-817.5
<i>Change in value of financial instruments impacting non-recyclable equity</i>	0.0	0.0	-791.7	0.0	-791.7	2.2	-789.5
<i>Change in value of financial instruments impacting recyclable equity</i>	0.0	0.0	-28.0	0.0	-28.0	0.0	-28.0
<i>Transfer of non-recyclable equity instruments recognised at fair value through equity</i>	0.0	83.8	-83.8	0.0	0.0	0.0	0.0
<i>Profit and loss for the year</i>	0.0	0.0	0.0	707.0	707.0	-1.1	705.9
Actuarial gains and losses on defined benefit plans	0.0	0.0	-2.0	0.0	-2.0	0.0	-2.0
Conversion adjustments	0.0	0.0	42.2	0.0	42.2	0.0	42.2
Distribution of dividends	0.0	-271.2	0.0	0.0	-271.2	-0.6	-271.8
Elimination of self-owned securities	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Changes in scope	0.0	8.3	0.2	0.0	8.5	296.6	305.1
Miscellaneous	0.0	-17.4	0.0	0.0	-17.3	0.0	-17.3
Position as at 30/06/2024	21,122.4	6,640.4	1,175.0	707.0	29,644.8	360.2	30,005.0

Bpifrance Group statement of cash flows

(in €m)	30/06/2024	31/12/2023	30/06/2023
Result before tax	739.0	1,219.5	887.4
Net depreciation/amortisation expense on property, plant and equipment, and intangible assets	53.4	102.4	46.3
Impairment of goodwill and other non-current assets	-0.2	-9.6	-6.9
Net allocations to provisions	262.3	55.4	-13.6
Share of net income from equity-consolidated companies	-155.7	-304.3	-234.3
Net loss/net gain from investment activities	-447.5	-570.1	-448.3
Other movements	439.2	282.1	431.6
Other movements (specific to guarantee funds)	-104.4	118.6	51.6
Total non-monetary items included in net income before taxes and other adjustments	47.1	-325.5	-182.0
Flows related to transactions with credit institutions	-2,513.1	-7,807.2	-2,482.6
Flows related to transactions with clients	-157.9	-1,607.9	-212.6
Flows related to other transactions impacting financial assets or liabilities	-1,215.5	784.3	-435.5
Flows related to other transactions impacting non-financial assets or liabilities	38.0	-31.9	721.9
Flows related to other transactions impacting the innovation business	338.9	302.2	168.8
Taxes paid	-18.3	-24.3	49.0
Net decrease/(increase) in assets and liabilities from operational activities	-3,527.9	-8,384.8	-2,191.0
Total net cash flow generated by operational activities (A)	-2,741.8	-7,490.8	-1,485.7
Flows related to financial assets and equity interests	204.8	222.0	-479.8
Flows related to investment properties	0.0	0.0	0.0
Flows related to property, plant and equipment and intangible assets	-52.3	-130.9	-51.8
Total net cash flow related to investment transactions (B)	152.5	91.1	-531.6
Cash flows from or to shareholders	-264.9	-587.6	-428.0
Other net cash flows from financing activities	1,335.2	1,376.2	2,461.7
Total net cash flow related to financing transactions (C)	1,070.3	788.6	2,033.8
Impact of exchange rate fluctuations on cash and cash equivalents (D)	0.0	0.0	0.0
Net increase/(decrease) in cash and cash equivalents (A+B+C+D)	-1,519.0	-6,611.1	16.4
Net cash flow generated by operational activities (A)	-2,741.8	-7,490.8	-1,485.7
Net cash flow related to investment transactions (B)	152.5	91.1	-531.6
Net cash flow related to financing transactions (C)	1,070.3	788.6	2,033.8
Impact of exchange rate fluctuations on cash and cash equivalents (D)	0.0	0.0	0.0
Cash and cash equivalents - opening balance	4,040.8	10,652.0	10,652.0
Cash in hand, central banks (assets & liabilities)	2,921.7	9,575.7	9,575.7
Accounts (assets & liabilities) and sight loans/borrowing from credit institutions	1,119.1	1,076.3	1,076.3
Cash and cash equivalents - closing balance	2,521.8	4,040.8	10,668.4
Cash in hand, central banks (assets & liabilities)	1,676.5	2,921.7	9,555.1
Accounts (assets & liabilities) and sight loans/borrowing from credit institutions	845.3	1,119.1	1,113.3
Change in net cash position	-1,519.0	-6,611.2	16.4



III. NOTES TO THE FINANCIAL STATEMENTS

of Bpifrance as at 30 June 2024

Bpifrance

APPENDIX TO THE CONSOLIDATED
ACCOUNTS

HALF-YEAR SUMMARIES

30 JUNE 2024



Note 1 – ACCOUNTING PRINCIPLES AND METHODS

The condensed half-year consolidated financial statements of the Bpifrance Group for the six-month period ending on 30 June 2024 were prepared and are presented in accordance with IAS 34 “Interim Financial Reporting”. Therefore, the notes presented focus on significant items for the period and should be read in conjunction with the audited consolidated financial statements for the year ended 31 December 2023, which are found in the 2023 Universal Registration Document.

Accounting principles and methods adopted

Regulatory framework

The consolidated financial statements of the Bpifrance Group have been prepared in accordance with the IFRS standards in effect in the European Union as at 30 June 2024.

The standards, amendments, and interpretations (including IFRS 17) which are compulsory as of 1 January 2024 had no material impact on the financial statements as at 30 June 2024.

Bpifrance is excluded from the scope of application of Directive EU/2022/2523 of 15 December 2022 (known as the Pillar 2 Directive), transposed into French law by Article 33 of the 2024 Finance Act (Law 2023-1322 of 29/12/2023).

The accounting principles and methods used to prepare the condensed half-year consolidated financial statements are the same as those used by the Group to prepare the consolidated financial statements for the year ended 31 December 2023.

The accounting principles and valuation methods applicable on 31 December 2023 are described in notes 3 to 5 of the 2023 consolidated financial statements.

Moreover, the Group does not apply any standards, interpretations and amendments whose application is currently optional.

Presentation of the consolidated financial statements

The presentation of the condensed financial statements is consistent with the proposal of ANC recommendation No. 2022-01 of 8 April 2022 on the format of consolidated financial statements of banking sector institutions under international accounting standards.

Use of estimates in the preparation of the financial statements



The preparation of the financial statements requires making estimates that involve uncertainties about their occurrence. In particular, post-employment commitments were measured as at 30 June 2024 by extrapolating the actuarial valuation performed as at 31 December 2023.

Seasonal, cyclical or non-recurring nature of activities

Other than the provision for paid leave, which recognises vested rights to leave not yet taken at 30 June, the Group's activities are not seasonal, cyclical or non-recurring in nature.

Note 2 - EVENTS DURING THE PERIOD

2.1 Significant events during the period

Calculation of expected credit losses

Update of the forward-looking scenarios

Details of the scenarios

In June 2024, Bpifrance updated the four forward-looking scenarios.

These scenarios take into account several constraints on the French economy, and in particular the continuing significant difficulties posed by recruitment. After the sluggish growth seen in the first half of 2024, it is assumed that consumption and investment will gradually pick up during the coming quarters, in a context in which it is expected that disinflation will continue and the ECB will gradually relax its monetary policy. The reduction in the factors restricting demand is expected to endure into 2025 and to translate into an upturn in activity. The context that is relatively less conducive to a relaxation in sovereign rates due, in particular, to the uncertain trajectory of public finances and US monetary policy, which is restrictive in the longer-term, is also taken into account.

Uncertainties about growth prospects remain high. The optimistic scenario anticipates more dynamic growth in 2025, due to a more rapid easing of price pressures, implying more dynamic consumption and a more rapid normalisation of monetary policy. Conversely, the degraded inflationary scenario with bond crash envisages a shock that is both recessionary and inflationary due to high and longer lasting pressures on supply and on the price of inputs. The effects of this shock are assumed to be enduring due to a higher number of business failures and sharper deterioration on the labour market. The degraded L-shaped scenario assumes a strong recessive shock on GDP of a health, financial or cyclical nature, which should lead to a drop in inflation.

The scenarios also take account of the economic consequences of the ecological and energy transition (EET), which are assumed to translate into a negative supply shock, at least temporarily, impacting potential growth and sustaining inflation over the whole forecast period (2024-2029); the negative impact on potential growth would be the highest in the downgraded scenarios due to a disorderly transition.

Change in weightings

In the absence of marked changes in the economic hypotheses over the first half of 2024, the weightings for the scenarios from 31 December 2023 have been retained.



Scenario	Weightings 30/06/24	Weightings 31/12/23
Optimistic	15%	15%
Central	65%	65%
Inflationary downgrade with bond crash	15%	15%
L-shape degraded	5%	5%

Methodological adjustments to the model

Correlation between growth rate and default rate

The health crisis context of the years 2020 and 2021 required the application of a methodological adjustment to the Bpifrance ECL (Expected Credit Losses) calculation model, to correct the observed decorrelation between the economic context and the default rates.

Bpifrance does not include the data from 2020 to 2023 in the calibration of the ECL calculation model as at 30 June 2024, and continues to use the parameters used at the end of 2019.

The effect of not recalibrating the model is a reduction in ECL of €29m as at 30 June 2024 (-€45m as at 31 December 2023).

Correlation between inflation rate and default rate

The economic context of 2022, 2023 and to a lesser extent 2024 translated into sharply rising inflation forecasts, at levels well above the values present in the calibration history of the models. The correlation observed historically in Bpifrance portfolios between inflation and default is negative: rising inflation is associated with a decrease in defaults.

Therefore, updating this projected inflation has a strong counter-intuitive effect in the results of the model, as it would result in a large decrease in the calculated amount of ECL. This result is explained by the change in the current inflation regime compared with the last ten years and does not correspond to the expected effects of this shock on French business failures.

To mitigate this effect, Bpifrance has decided to neutralise the effect of inflation in the update of the ECLs, by retaining in its macroeconomic scenarios the inflation trajectories defined at 31 December 2021.

The effect of this neutralisation of inflation effects is an increase in the ECL of €60m at 30 June 2024 (€99m at 31 December 2023).

Correction to the forward-looking model

A new version of the provisioning model has been developed. This will enable improvements to the model's ability to process the data from the pandemic period, as well as its reaction in high-inflation contexts. This model had not yet been used to calculate the ECL as at 30 June 2024, but the impact of its planned roll-out in the second half of 2024 is known and translates to an increase in the ECL calculated of in the order of €90m.

An overlay of €90m has therefore been included in the ECL as at 30 June 2024 to take account of this improvement to the model and in anticipation of the foreseeable impact of its roll-out in the second half of 2024.



Sector-based adjustments

Inflationary shock

Due to the recognition of an overlay in relation to the new forward-looking modelling, this adjustment allowing the inflationary context to be taken into consideration has been eliminated. It accounted for an increase in the ECL of €43m as at 31 December 2023.

Construction

The construction sector is characterised by a high level of failures and a degraded context with, in particular, a reduction in the number of construction permits and works commenced.

In order to incorporate this sector-based adjustment in the provisioning as at 30 June 2024, the businesses in this sector have been downgraded by one rank when calculating the ECL.

This translates to an increase in the ECL of €4.5m.

Other forward-looking adjustments

Innovation

The population of innovative businesses was characterised by high levels of failure in 2023 and the first half of 2024 in a context in which fundraising has become rarer.

A certain number of these businesses depend on fundraising to finance their growth and continue their activities. This tendency raises the risk of default for this population.

A provision adjustment was recognised in the ECL as at 30 June 2024, through the identification of a population of businesses with negative self-financing ability and insufficient cashflow to finance a new year of activity without external resources. The loans affected were placed in bucket 2.

This adjustment amounted to €19m as at 31 December 2023. Its update, using the same methodology, led to a provision adjustment of €20m as at 30 June 2024.

Firms with a State-guaranteed loan (SGL)

The cash flow of French companies has been massively supported since the spring of 2020 through the distribution of state-guaranteed loans. These loans included a one-year grace period, which could be extended for an optional year thereafter. Consequently, the bulk of SGLs have been in the payback period since 2022 or 2023. This debt burden poses difficulties for some businesses that took out an SGL.

Therefore, the population of businesses that took out an SGL and whose financial statements show that they have insufficient available resources to repay one year of this loan have been identified. An adjustment to the ECL has been recognised in addition to the results obtained from the models as at 30 June 2024 for this population. The corresponding loans have been placed in bucket 2.

This adjustment was for €40m as at 31 December 2023. Its update, using the same methodology, leads to a sum of €34m as at 30 June 2024.



Real estate valuation

A significant proportion of Bpifrance's outstanding amounts is guaranteed by real estate assets affected by the tertiary sector decree (*décret tertiaire*). This decree imposes obligations aimed at improving the energy performance of buildings, as well as obligations to disclose current consumption. The data available shows that a significant number of businesses have not made the mandatory disclosures, which is a reflection of insufficient efforts to initiate the energy transition of these real estate assets. This poses a long-term valuation risk for the affected assets. A post-model adjustment of €80m was applied as at 30 June 2024, the same as at 31 December 2023, to take account of this risk.

The context for the year is uncertain in terms of the valuation of commercial real estate as transaction and investment volumes are falling. The segments deemed to be the most affected are offices, shops (excluding major food retailers) and health. A post-model adjustment of €20m was applied to these sectors when calculating the ECL as at 30 June 2024, the same as at 31 December 2023, for this valuation risk for commercial real estate.

These two post-model adjustments are made on account of risk related to loss in the event of default and not to the likelihood of default. They have no effect on the assessment of the significant degradation of the credit risk and do not lead to changes in the bucket classification of the outstanding amounts.

Sensitivity analysis of the ECL to macroeconomic scenarios

As described above, the four macroeconomic scenarios used in the calculation of the ECL at 30 June 2024 correspond to very different economic situations. Consequently, they lead to significantly different amounts of ECL⁷.

⁷ The calculations for sensitivity to the scenarios have been made without adjustment for innovation, SGL and real estate valuation risks. The €154m adjustment is added to the result of the calculations for each scenario.

Scenario	Amount of ECL in case of 100% scenario weighting (€m)	As a percentage of the ECL recorded at 30/06/24
Optimistic	469	92%
Central	494	97%
Inflationary downgrade with bond crash	579	114%
L-shape degraded	608	120%

Customer loans and receivables as well as finance leases and similar transactions at amortised cost

- Breakdown of gross carrying amounts (excluding accounts opened with Agence France Trésor (AFT))

(in €m)	Bucket 1 Expected losses at 12 months	Bucket 2 Expected losses at maturity	Bucket 3 Expected losses in impaired credit	TOTAL
Opening balance - 31 December 2023	34,925	11,742	3,031	49,698
Closing balance- 30 June 2024	37,656	8,804	3,620	50,080

- Breakdown of expected credit losses

(in €m)	Bucket 1 Expected losses at 12 months	Bucket 2 Expected losses at maturity	Bucket 3 Expected losses in impaired credit	TOTAL
Opening balance - 31 December 2023	119	357	785	1,260
Closing balance- 30 June 2024	176	291	876	1,343

2.2 Post balance sheet events

No significant events have occurred after the balance sheet date.



Note 3 - CONSOLIDATION SCOPE

The consolidated financial statements of the Bpifrance Group include all exclusively controlled companies, except those whose consolidation does not materially impact the preparation of the Group's consolidated financial statements.

The accounts of exclusively controlled companies are fully consolidated.

Investments that the Group controls jointly via a joint venture and investments over which the Group exercises significant influence are accounted for using the equity method.

Change in the consolidation scope in the first half of 2024

The consolidation scope of the Bpifrance Group at 30 June 2024 has changed compared the last year-end closing of the consolidated financial statements at 31 December 2023. It now includes the accounts of the Bpifrance Innovation 1 and Large Venture III funds, and the FRENCH KUWAITI FUND (FKF), under full consolidation.

The following table lists the consolidated companies, the percentage of their capital that is held directly or indirectly, and the consolidation method used.

Name	Consolidation method	30/06/2024 % interest	30/06/2024 % of voting rights	31/12/2023 % of voting rights
Bpifrance - MAISONS-ALFORT	Full	100%	100%	100%
Bpifrance Régions - MAISONS-ALFORT	Full	99.99%	99.99%	99.99%
Auxi-Finances - MAISONS-ALFORT	Full	100%	100%	100%
SCI Bpifrance - MAISONS-ALFORT	Full	100%	100%	100%
Bpifrance Courtage - MAISONS-ALFORT	Full	100%	100%	100%
FCT Bpifrance SME 2019-01 - SAINT-DENIS	Full	100%	100%	100%
FCT Bpifrance TPE Digital - SAINT DENIS	Full	100%	100%	100%
FCT Bpifrance SME 2020-01 - SAINT-DENIS	Full	100%	100%	100%
FCT Prêts d'Honneur - SAINT-DENIS	Full	100%	100%	100%
Bpifrance Assurance Export - MAISONS-ALFORT	Full	100%	100%	100%
Bpifrance Participations - MAISONS-ALFORT	Full	100%	100%	100%
FSI PME Portefeuille - MAISONS-ALFORT	Full	100%	100%	100%
FFI parts A - MAISONS-ALFORT	Full	100%	100%	100%
FFI Parts B - MAISONS-ALFORT	Full	100%	100%	100%
FONDS de FONDS PME - MAISONS-ALFORT	Full	100%	100%	100%
FFI 2 - MAISONS-ALFORT	Full	100%	100%	100%
FFI 3 - MAISONS-ALFORT	Full	100%	100%	100%
FFI 4 - MAISONS-ALFORT	Full	100%	100%	100%
FFI 5 - MAISONS-ALFORT	Full	100%	100%	100%
FFI 6 - MAISONS-ALFORT	Full	100%	100%	100%
FPMEI - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Croissance 1 - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Croissance 2 - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Croissance 3 - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Croissance 4 - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Croissance 5 - MAISONS-ALFORT	Full	100%	100%	100%
FIC DETTE PRIVEE - MAISONS-ALFORT	Full	100%	100%	100%
FIC DETTE PRIVEE II - MAISONS-ALFORT	Full	100%	100%	100%
FIC DETTE PRIVEE III - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Régions 1 - MAISONS-ALFORT	Full	94.00%	94.00%	94.00%
France Investissement Régions 2 - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Régions 3 - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Régions 4 - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Tourisme - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Tourisme 3 - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Energie Environnement 2 - MAISONS-ALFORT	Full	88.17%	88.17%	88.17%
Avenir Entreprise Développement C2 - MAISONS-ALFORT	Full	100%	100%	100%
Avenir Tourisme - MAISONS-ALFORT	Full	100%	100%	100%
ETI2020 - MAISONS-ALFORT	Full	100%	100%	100%
ETI22 - MAISONS-ALFORT	Full	94.00%	94.00%	94.00%
CDC Entreprises Capital Investissement - PARIS	Full	100%	100%	100%
FSN Ambition Numérique - MAISONS-ALFORT	Full	100%	100%	100%
Bpifrance Innovation 1 Venture - MAISONS-ALFORT	Full	100%	100%	100%
Bpifrance Innovation 1 Large Venture II - MAISONS-ALFORT	Full	100%	100%	100%
Bpifrance Innovation 1 Large Venture III - MAISONS-ALFORT	Full	100%	100%	-
Bpifrance Capital 1 - MAISONS-ALFORT	Full	100%	100%	100%
Bpifrance Capital 2 - MAISONS-ALFORT	Full	100%	100%	100%
Bpifrance Mezzanine 1 - MAISONS-ALFORT	Full	100%	100%	100%
Bpifrance International Capital - MAISONS-ALFORT	Full	100%	100%	100%
FEF Capital - MAISONS-ALFORT	Full	100%	100%	100%
FRENCH KUWAITI FUND (FKF) - MAISONS ALFORT	Full	50.13%	50.13%	-
Bpifrance Investissement - MAISONS-ALFORT	Full	100%	100%	100%
Alsabail - STRASBOURG	Equity	40.69%	40.69%	40.69%
Tyrol Acquisition (Groupe TDF) - Luxembourg	Equity	23.99%	23.99%	23.99%
Eutelsat Communications - PARIS	Equity	13.59%	13.59%	13.59%
STConso (Level with STM Consolidated at 27.83%) - GENEVA	Equity	50.00%	50.00%	50.00%
Future French Champion - MAISONS-ALFORT	Equity	50.00%	50.00%	50.00%
Fonds Lac I - MAISONS-ALFORT	Equity	32.92%	32.92%	32.95%
Soitec - BERNIN	Equity	11.47%	16.80%	16.80%
Mecadev - BLAGNAC	Equity	35.45%	35.45%	35.73%

Note 4 - RESOURCES

The tables below show loans in excess of €100m taken out or repaid (in full by date) over the period.

Loans taken out during the period

(In millions of euros)

Type	Amount	Term (in years)	Maturity
OBL BPIFRA 2.875 31/01/2032	1,250	8	31/01/2032
OBL BPIFRA 2.125 29/11/2027	750	3	29/11/2027
OBL BPIFRA 0 25/05/2028	750	4	25/05/2028
OBL BPIFRA GBP 4.125 22/07/27(*)	414	3	22/07/2027
OBL BPIFRA 1 25/05/2027	350	3	25/05/2027
CD BPIFF IPA 24/03/2025	330	1	24/03/2025
OBL BPIFRA 3.5 27/09/2027	325	3	27/09/2027
BMTN BPIFF E325 04/03/2026	200	2	04/03/2026
CD BPIFF IPA 05/12/2024	200	0	05/12/2024
CD BPIFF IPA 10/06/2025	200	1	10/06/2025
CD BPIFF IPA 20/06/2025	200	1	20/06/2025
CD BPIFF IPA 14/04/2025	175	1	14/04/2025
CD BPIFF IPA 05/09/2024	163	0	05/09/2024
CD BPIFF IPA 16/09/2024	150	0	16/09/2024
CD BPIFF IPA 17/03/2025	150	1	17/03/2025
CD BPIFF IPA 17/09/2024	150	0	17/09/2024
CD BPIFF IPA 17/10/2024	148	0	17/10/2024
CD BPIFF IPA 08/07/2024	145	0	08/07/2024
CD BPIFF IPA 03/09/2024	125	0	03/09/2024
CD BPIFF IPA 30/09/2024	125	0	30/09/2024
CD BPIFF IPA 08/08/2024	113	0	08/08/2024
CD BPIFF IPA 07/02/2025	100	1	07/02/2025
CD BPIFF IPA 07/10/2024	100	0	07/10/2024
CD BPIFF IPA 09/01/2025	100	1	09/01/2025
CD BPIFF IPA 13/06/2025	100	1	13/06/2025
CD BPIFF IPA 18/11/2024	100	0	18/11/2024
CD BPIFF IPA 18/12/2024	100	0	18/12/2024
CD BPIFF IPA 26/08/2024	100	0	26/08/2024
CD BPIFF IPA 14/01/2025	100	1	14/01/2025

(*) GBP 350m

Loans repaid during the half-year

(In millions of euros)

Note 5 -

Loan repayment date	Amount
26/06/2024 (*)	2,700
25/05/2024	1,850
27/03/2024	1,100
17/01/2024	400
18/03/2024	336
31/01/2024	250
10/04/2024	230
05/06/2024	220
19/06/2024	205
24/01/2024	200
19/02/2024	200
13/03/2024	200
17/04/2024	200
31/05/2024	200
11/06/2024	200
29/04/2024	180
12/02/2024	175
15/01/2024	150
29/02/2024	150
11/03/2024	150
04/04/2024	150
05/04/2024	150
18/06/2024	130
03/06/2024	125
04/06/2024	120
29/05/2024	105
12/06/2024	105
26/06/2024	105
02/01/2024	100
03/01/2024	100
04/01/2024	100
08/01/2024	100
10/01/2024	100
12/01/2024	100
07/02/2024	100
14/02/2024	100
21/02/2024	100
28/02/2024	100
05/03/2024	100
06/03/2024	100
08/03/2024	100
20/03/2024	100
03/04/2024	100
15/04/2024	100
24/04/2024	100
30/04/2024	100
07/05/2024	100
14/05/2024	100
22/05/2024	100
07/06/2024	100

(*) TLTRO III

FINANCING AND GUARANTEE COMMITMENTS

Bpifrance recorded for its forward foreign exchange transactions as at 30 June

(In millions of euros)	30/06/2024	31/12/2023
Commitments made	25,450.1	24,300.5
Credit financing commitments	10,318.7	10,021.0
<i>to credit institutions</i>	0.0	42.0
<i>to clients</i>	10,318.7	9,979.0
Innovation aid financing commitments	247.8	238.3
Guarantee commitments	14,167.2	13,981.3
<i>to credit institutions</i>	0.0	0.0
<i>to clients</i>	14,167.2	13,981.3
Commitments on securities (securities deliverable)	716.3	59.9
Commitments received	32,423.2	19,465.7
Credit financing commitments received from credit institutions	28,986.9	16,301.1
Guarantee commitments received from credit institutions	3,293.8	3,164.6
Commitments on securities (securities receivable)	142.5	0.0

2024 a foreign currency outstanding receivable of €1,122.4m (€690.4m at 31 December 2023) and an outstanding amount of €1,096.5m (€689,6m at 31 December 2023).

Note 6 - SECTOR-BASED INFORMATION

The Bpifrance Group primarily carries out the following business activities:

- medium- and long-term loans: medium- and long-term financing in the form of direct loans, equipment and real estate leasing and finance leasing; this also include innovation loans,
- short-term financing includes in public liabilities financing in metropolitan France and the overseas departments and territories, either directly or by signature,
- guarantee coverage covers banks and equity funding institutions from the risks of default of funding recipients,
- innovation financing aid in the form of repayable advances or grants,
- equity investment activities in the form of direct investments, investments or via direct funds (Development Capital Investment) or in the form of indirect investments via funds of funds (Investment in Funds of Funds),

- international: a subsidiary of Bpifrance, Bpifrance Assurance Export manages public export guarantees in the name and on behalf of the State.

The “Other” item includes the business performed mainly by the real estate structures (SCI Bpifrance, Auxi-Finances), export credit, Digital Innovation Invest, the support activity as well as the business line “Entrepreneurship and Regions”.

(In millions of euros)

30/06/2024	Financing	Guarantee	Financing of Innovation	Development Capital Investment	Investment in Funds of Funds	International	Others	Total
NBI	364.4	80.2	51.8	582.2	100.1	30.5	35.7	1 245.0
Overhead expenses	-157.8	-39.0	-75.7	-67.5	-23.1	-25.0	-155.6	-543.6
Cost of risk	-77.6	0.0	-20.9	-0.4	0.0	0.0	-19.8	-118.7
Operating results	129.1	41.2	-44.8	514.4	77.0	5.5	-139.7	582.7

31/12/2023	Financing	Guarantee	Financing of Innovation	Development Capital Investment	Investment in Funds of Funds	International	Others	Total
NBI	675.1	172.1	103.1	719.1	174.5	57.1	112.7	2,013.8
Overhead expenses	-313.9	-79.1	-148.6	-132.3	-44.3	-48.9	-285.8	-1,053.0
Cost of risk	-2.0	0.1	-23.8	-4.1	0.0	0.0	-26.5	-56.3
Operating results	359.2	93.1	-69.3	582.7	130.2	8.2	-199.6	904.5

30/06/2023	Financing	Guarantee	Financing of Innovation	Development Capital Investment	Investment in Funds of Funds	International	Others	Total
NBI	325.1	67.1	49.6	556.3	41.2	30.1	59.1	1,128.4
Overhead expenses	-159.4	-43.0	-71.4	-65.5	-22.6	-23.5	-127.4	-512.6
Cost of risk	39.8	0.1	-0.4	-5.7	,	,	-12.5	21.3
Operating results	205.5	24.2	-22.1	485.1	18.6	6.6	-80.7	637.1

(In millions of euros)

Gross outstandings	30/06/2024	31/12/2023
Medium and long-term loans	41,830.7	41,572.3
. of which Innovation loans	1,884.8	1,860.4
Short-term financing	1,554.5	1,529.2
Innovation financing aid	857.5	866.0
Guarantees provided	14,167.2	13,981.3

At 30 June 2024, the guarantee funds totalled €7,055.8m, compared with €6,983.8m at 31 December 2023.

Subsidies granted in connection with the innovation business totalled €70.2m, compared with €133.6m at 31 December 2023.

Note 7 - DIVIDENDS PAID

Bpifrance has decided to distribute a dividend of €0.58 per share, representing a total of €393.3m for the 2023 financial year. An interim dividend of €122.0m, or €0.18 per share, was already paid on 19 December 2023.



Note 8 – INFORMATION ON FAIR VALUE

(In millions of euros)	30/06/2024			
	Level 1	Level 2	Level 3	Total
ASSETS				
Financial assets at fair value through profit or loss	112.2	82.7	7,571.1	7,766.0
- Bonds and fixed-income securities	0.0	0.0	1,563.9	1,563.9
- UCITS units	112.2	82.7	374.0	568.9
- Other assets at fair value through profit or loss	0.0	0.0	5,633.2	5,633.2
- Transaction derivatives	0.0	0.0	0.0	0.0
of which currency exchange derivatives	0.0	0.0	0.0	0.0
Hedging derivatives	0.0	87.2	0.0	87.2
- Fair value hedging	0.0	87.2	0.0	87.2
- Cash flow hedging	0.0	0.0	0.0	0.0
- Hedging of net foreign currency investments	0.0	0.0	0.0	0.0
- Total hedging restricted to fair value	0.0	0.0	0.0	0.0
Financial assets at fair value through equity	8,565.9	761.3	7,341.5	16,668.7
- Bonds and fixed-income securities	950.9	586.1	0.0	1,537.0
- Equities and other variable income securities	7,615.0	175.2	7,341.5	15,131.7
Securities at amortised cost	9,549.7	0.0	0.0	9,549.7
- Government bonds	8,282.5	0.0	0.0	8,282.5
- Other bonds	1,227.6	0.0	0.0	1,227.6
- Negotiable debt instruments	39.6	0.0	0.0	39.6
Loans and receivables owed by credit institutions and similar entities, at amortised cost	1,215.7	442.8	0.0	1,658.5
Loans and receivables owed by clients, at amortised cost	0.0	47,958.0	0.0	47,958.0
Finance leases and similar transactions, at amortised cost	0.0	6,204.1	0.0	6,204.1
LIABILITIES				
Financial liabilities at fair value through profit or loss	0.0	0.0	0.0	0.0
- Borrowings and term deposits	0.0	0.0	0.0	0.0
- Debts represented by securities	0.0	0.0	0.0	0.0
- Liabilities on securities	0.0	0.0	0.0	0.0
- Other liabilities at fair value through profit or loss	0.0	0.0	0.0	0.0
- Transaction derivatives	0.0	0.0	0.0	0.0
of which currency exchange derivatives	0.0	0.0	0.0	0.0
Hedging derivatives	0.0	7.8	0.0	7.8
- Fair value hedging	0.0	7.8	0.0	7.8
- Cash flow hedging	0.0	0.0	0.0	0.0
- Hedging of net foreign currency investments	0.0	0.0	0.0	0.0
- Total hedging restricted to fair value	0.0	0.0	0.0	0.0
Debts owed to credit institutions and similar entities	0.0	10,819.5	0.0	10,819.5
Debts owed to clients	0.0	1,905.8	0.0	1,905.8
Debts represented by securities	45,181.6	0.0	0.0	45,181.6

There were no significant transfers between fair value levels 1 and 2 during the period.

(in millions of euros)	31/12/2023			
	Level 1	Level 2	Level 3	Total
ASSETS				
Financial assets at fair value through profit or loss	215.1	85.1	7,244.5	7,544.8
- Bonds and fixed-income securities	0.0	0.0	1,462.0	1,462.0
- UCITS units	215.1	85.1	379.3	679.6
- Other assets at fair value through profit or loss	0.0	0.0	5,403.2	5,403.2
- Transaction derivatives	0.0	0.0	0.0	0.0
of which currency exchange derivatives	0.0	0.0	0.0	0.0
Hedging derivatives	0.0	60.9	0.0	60.9
- Fair value hedging	0.0	60.9	0.0	60.9
- Cash flow hedging	0.0	0.0	0.0	0.0
- Hedging of net foreign currency investments	0.0	0.0	0.0	0.0
- Total hedging restricted to fair value	9,467.0	895.4	6,737.8	17,100.2
Financial assets at fair value through equity	1,011.6	652.4	0.0	1,664.0
- Bonds and fixed-income securities	8,455.4	243.0	6,737.8	15,436.2
- Equities and other variable income securities	7,130.2	2,249.1	0.0	9,379.3
Securities at amortised cost	7,130.2	76.8	0.0	7,207.0
- Government bonds	0.0	1,032.6	0.0	1,032.6
- Other bonds	0.0	1,139.7	0.0	1,139.7
- Negotiable debt instruments	995.9	605.6	0.0	1,601.4
Loans and receivables owed by credit institutions and similar entities, at amortised cost	0.0	48,227.1	0.0	48,227.1
Loans and receivables owed by clients, at amortised cost	0.0	6,133.9	0.0	6,133.9
Finance leases and similar transactions, at amortised cost				
LIABILITIES	0.0	0.0	0.0	0.0
Financial liabilities at fair value through profit or loss	0.0	0.0	0.0	0.0
- Borrowings and term deposits	0.0	0.0	0.0	0.0
- Debts represented by securities	0.0	0.0	0.0	0.0
- Liabilities on securities	0.0	0.0	0.0	0.0
- Other liabilities at fair value through profit or loss	0.0	0.0	0.0	0.0
- Transaction derivatives	0.0	0.0	0.0	0.0
of which currency exchange derivatives	0.0	14.5	0.0	14.5
Hedging derivatives	0.0	14.5	0.0	14.5
- Fair value hedging	0.0	0.0	0.0	0.0
- Cash flow hedging	0.0	0.0	0.0	0.0
- Hedging of net foreign currency investments	0.0	13,548.3	0.0	13,548.3
- Total hedging restricted to fair value	0.0	1,911.8	0.0	1,911.8
Debts owed to credit institutions and similar entities	41,359.2	0.0	0.0	41,359.2

Quantitative information on unobservable inputs at 30 June 2024 (Level 3 fair value)

Instruments concerned	Valuation techniques used	Principal unobservable inputs	Unobservable data intervals
Unlisted shares	- Discounted free cash flow (DCF) - Stock market multiples - Transaction multiples - Entry multiples - Capital raising - Cost of investment	1. Budget and business plan 2. Company accounts and landing 3. Discount rate 4. Perpetual growth rate 5. Cost of the investment	1. No interval 2. No interval 3. 5% to 20% 4. 0% to 5% 5. No interval
FCPR	Valuation by fair value, thus: - for listed securities: spot price or weighted average price on the day of the valuation with possible application of a discount for marketability/liquidity - for unlisted securities: cost of the investment; multiples (stock market and/or transaction) with possible application of discounts for marketability, size and comparability	1. Cost of the investment 2. Tradability discount 3. Size discount 4. Comparability discount 5. Cash flow at fund level	1. No interval 2. 0 to 20% 3. 0 to 30% 4. 0 to 30% 5. No interval
Bonds convertible into shares	- same valuation techniques as "Unlisted shares" - Contractual clauses (e.g. quota)	1. Nominal 2. Cash interest 3. Capitalised interest (PIK) 3. Non-conversion premium (NCP) 4. Quota	1. No interval 2. 0% to 10% 3. 0% to 15% 4. Target IRR of 0-20% 4. 0% to 100%"
Share subscription warrants (BSA)	- same valuation techniques as "Unlisted shares" - Contractual clauses (e.g. quota)	1. Budget and business plan 2. Company accounts and landing 3. Discount rate 4. Perpetual growth rate 5. Quota	1. No interval 2. No interval 3. 5% to 20% 4. 0% to 5% 5. 0% to 100%"

Change in the balance of financial instruments measured at fair value under Level 3

	30/06/2024		
	Financial assets at fair value through profit or loss	Financial assets at fair value through equity	Total
(In millions of euros)			
Balance at 1 January 2024	7,244.5	6,737.8	13,982.3
Gains/losses for the period	-4.1	186.1	181.9
<i>Recognised in profit or loss (*)</i>	-4.1	0.0	-4.1
<i>Accounted in equity</i>	0.0	186.1	186.1
Perimeter entry	0.0	0.0	0.0
Purchases for the period	668.1	505.0	1,173.1
Sales for the period	-334.6	-90.2	-424.7
Emissions for the period	0.0	0.0	0.0
Outcomes for the period	0.0	0.0	0.0
Reclassifications for the period	-2.8	2.8	0.0
Transfers	0.0	0.0	0.0
<i>To level 3</i>	0.0	0.0	0.0
<i>Outside level 3</i>	0.0	0.0	0.0
Balance at 30 June 2024	7,571.1	7,341.5	14,912.6

(*) As at 30 June 2024, gains and losses from financial assets held in the balance sheet at the balance sheet date recognised in "Net gains or losses on financial instruments at fair value through profit or loss" amount to -4.1 million euros, of which -32.4 million euros on the revaluation of bonds and fixed income securities and +28.3 million euros on the revaluation of equity instruments.

Fair value sensitivity of Level 3 financial instruments

Since the estimation of the fair value of Level 3 financial instruments requires judgement, a change in the assumptions of unobservable inputs would result in a significant change in this fair value.



At 30 June 2024, an upward change of 1% in the valuation of the portfolios of assets measured at fair value through profit or loss and of assets measured at fair value through equity would have an impact on the profit and loss statement and on shareholders' equity of respectively €56.2m and €71.1m. A downward change of 1% would have an impact on the profit and loss statement and on shareholders' equity of -€56.2m and -€73.4m respectively.



IV. STATUTORY AUDITORS' REPORT ON THE SUMMARY CONSOLIDATED HALF-YEAR FINANCIAL INFORMATION

Bpifrance

A French Société anonyme (public limited company) with a share capital of 5,440,000,000 euros
Registered office: 27-31 avenue du Général Leclerc, 94700 Maisons-Alfort Cedex
Trade and Companies Register No.: 320 252 489

Report on the statutory auditors' limited review of the condensed half-year consolidated financial statements

Period from 1 January 2024 to 30 June 2024



PricewaterhouseCoopers Audit
63, rue de Villiers
92208 Neuilly-sur-Seine Cedex
France

KPMG AUDIT FS I
Tour EQHO
2, Avenue Gambetta
CS 60055
92066 Paris la Défense Cedex
France

**Report on the statutory auditors' limited review of
the condensed half-year consolidated financial statements**

(Period from 1 January 2024 to 30 June 2024)

To the shareholders
Bpifrance
27-31 avenue du Général Leclerc
94700 Maisons-Alfort

In our capacity as statutory auditors of Bpifrance and in response to your request, we have performed a limited review of the accompanying condensed half-year consolidated financial statements for the period from 1 January 2024 to 30 June 2024, as attached to the current report.

These condensed half-year consolidated financial statements have been prepared under the responsibility of the Board of Directors. It is our responsibility to express our conclusion on these financial statements based on our limited review.

We performed our limited review in accordance with professional standards applicable in France.

A limited review consists principally of making inquiries of persons responsible for financial and accounting matters and applying analytical procedures. A limited review is substantially less in scope than an audit performed in accordance with professional standards applicable in France. Consequently, the assurance that the accounts, taken as a whole, are free of material misstatements obtained in the context of a limited review is a moderate assurance, lower than that obtained in the context of an audit.

Sur Based on our review, nothing has come to our attention that causes us to believe that the accompanying condensed interim consolidated financial statements are not prepared, in all material respects, in accordance with IAS 34, the standard of the IFRS as adopted by the European Union applicable to interim financial information.

In Neuilly-sur-Seine and Paris La Défense, 30 September 2024

The Statutory Auditors

PricewaterhouseCoopers Audit

KPMG AUDIT FS I

Pierre Clavié

Nicolas Bourhis



V. PERSON RESPONSIBLE FOR THE HALF-YEAR CONSOLIDATED FINANCIAL STATEMENTS

Responsible person

Mr Arnaud CAUDOUX: Executive Director

Statement by the person responsible

I certify that, to my knowledge, the reviewed financial statements for the past six months were prepared in accordance with the applicable accounting standards and provide a true and fair view of the assets, financial position and results of the company and all companies within the consolidation scope, and that the half-year business report on pages 3 to 19 presents a fair overview of major events that have occurred during the first six months of the year and of their impact on the financial statements.

Maisons-Alfort, 8 October 2024

**Bpifrance**

A French limited liability company (société anonyme) with a Board of Directors
With a share capital of €5,440,000,000
320 252 489 RCS CRETEIL

Registered office

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